Blurt sheet - Unit 3.8 Choosing strategic direction

3.8.1 Choosing Markets & Products

- **Strategic direction:** which markets to compete in and which products to offer

3.8.1 Ansoff's Matrix

- **Market penetration:** existing products, existing markets
- **Market development:** existing products, new markets
- **New product development:** new products, existing markets
- **Diversification:** new products, new markets (highest risk)

3.8.2 Porter's Generic Strategies

- **Porter's generic strategies:** cost leadership, differentiation, focus
- **Cost leadership:** lowest costs in the market
- **Differentiation:** offering something customers value as different
- **Focus:** targeting a narrow segment on cost or differentiation

3.8.2 Competitive Advantage

- **Competitive advantage:** something that lets a business outperform rivals
- **Difficulties keeping it:** copying, new technology, changing tastes, cost of staying ahead